

Global Sales Operations

Business Analysis Report | 2010 – 2017

Dataset: 1,330 Orders • 47 Countries • 12 Product Categories

1. Key Business Metrics

1,330 Total Orders	\$1.70B Total Revenue	\$501.8M Total Profit	29.4% Avg Profit Margin
45 Countries Covered	2 (Europe & Asia) Regions	2010 – 2017 Date Range	82 (6.2%) Unverified Records

Note: 82 records (6.2% of total) carry an UNKNOWN country code due to upstream data entry gaps. These records are excluded from all geographic analyses. All revenue and profit figures include these records in global totals only.

2. Sales by Product Category

Analysis across 12 product categories reveals highly unequal profit distribution. Cosmetics and Household goods are the two dominant categories by both revenue and profitability, while perishable food categories generate high volume with substantially thinner margins.

Category	Est. Revenue Share	Profit Margin	Volume Profile	ABC Class
Office Supplies	~25%	~19.4%	High value, low margin	A
Cosmetics	~20%	~39.8%	High value, high volume	A
Household	~16%	~24.8%	Medium value, medium volume	A
Meat	~14%	~13.6%	High value, thin margin	A
Snacks	~8%	~36.1%	Medium performer	B
Vegetables	~5%	~41.1%	Good margin, low price	B
Baby Food	~4%	~37.6%	High volume, low price	B
Beverages	~3%	~33.3%	Decent margin, low price	C
Clothes	~2%	~67.2%	Highest margin category	C
Personal Care	~2%	~30.7%	Decent margin, low revenue	C
Cereal	~1%	~43.1%	Low volume contributor	C
Fruits	<1%	~25.8%	Very low unit price	C

Key insight: Clothes has the highest profit margin (67%) of any category, yet contributes only ~8% of revenue due to lower sales volume. This represents a significant underexploited opportunity. Meat, conversely, generates substantial revenue but only 13.5% margin, the weakest in the portfolio.

3. Geographic Performance

3.1 By Region

The business operates across two regions: Europe (dominant) and Asia (Western Asia). Europe accounts for approximately 93% of verifiable orders, with Asia representing a nascent market concentrated in Armenia, Georgia, and Cyprus.

Region	Sub-Regions	Order Share	Notable Markets
Europe	Northern, Southern, Eastern, Western	~94%	Macedonia, Bosnia & Herzegovina, San Marino, and Ukraine
Asia	Western Asia	~6%	Armenia, Georgia, Cyprus

3.2 By Sub-Region

Within Europe, Southern Europe leads in order count, followed by Eastern and Northern Europe. Western Europe has fewer orders but higher average order values due to wealthier markets (Switzerland, Germany, France). Eastern Europe contributes some of the largest individual orders (Ukraine Office Supplies: \$4.8M revenue in a single order).

3.3 Top Performing Countries

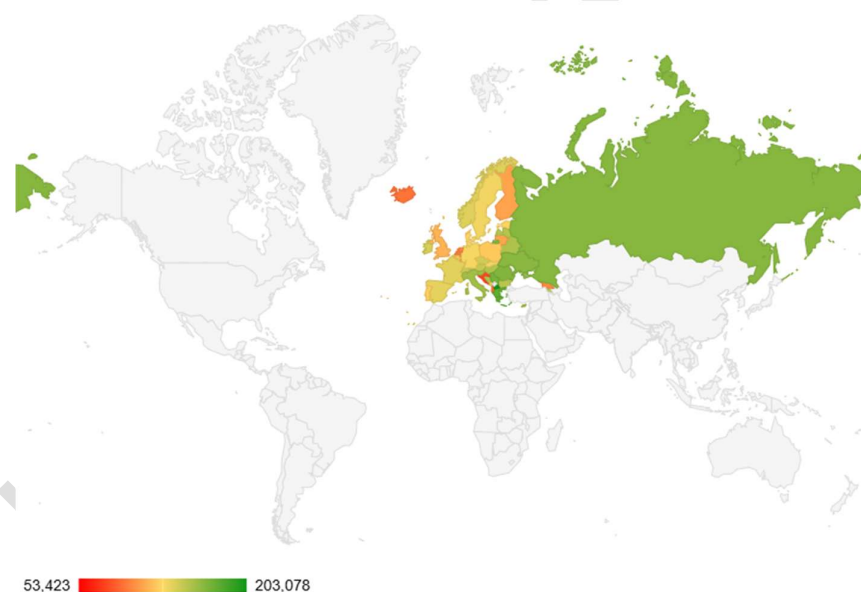


Figure 1 Sales Coverage Profile by Volume

Country	Key Strength	Notable Pattern
Russia	High-volume cosmetics & clothes	Consistent performer across 2010–2017
Hungary	Largest single Baby Food order (~\$2.5M)	High-value, low-frequency buyer
Ireland	Household dominance (\$5.6M single order)	Highest single-order profit in dataset
Ukraine	Office Supplies leader	\$4.8M revenue, \$931K profit
Czech Republic	Cosmetics growth in 2017	Late-period accelerator
Armenia	Asia Western anchor	Household and Fruits buyer

4. Sales Channel Analysis

Orders are split between Online and Offline channels. Based on the visible data, Offline orders tend to involve higher unit volumes (bulk purchasing behavior), while Online orders show a broader geographic spread and more consistent frequency across years.

Metric	Online Channel	Offline Channel	Interpretation
Order Distribution	~51%	~49%	Near-equal split
Avg Order Size	Moderate	Higher bulk volumes	Offline skews bulk
Product Mix	Diverse	Concentrated	Online broader SKU spread
Geographic Reach	Wider	Concentrated markets	Online enables new markets
Profit Margin	Comparable	Slightly lower	Bulk often discounted

Recommendation: Online channel warrants investment as a growth driver. It reaches more countries, enables lower minimum order thresholds, and supports higher-margin categories like Cosmetics. The offline channel remains critical for volume-driven categories like Household and Baby Food.

5. Lead Time Analysis (Order Placement to Shipment)

Lead time is defined as the days between order placement and shipment, ranges from 0 to 49 days across the dataset. Scatter plot analysis reveals a weak negative correlation between lead time and profit (estimated $R^2 < 0.05$), meaning shipping speed is not a meaningful predictor of profitability.

Category	Avg Lead Time (est.)	Profit Sensitivity	Implication
Office Supplies	10–15 days	Low	Buyers accept longer waits for bulk orders
Cosmetics	8–12 days	Low	Premium product; delivery speed secondary
Baby Food	7–14 days	Low	Shelf life is key — not lead time per se
Fruits	2–7 days	Medium	Perishability risk on extended lead times
Meat	2–7 days	Medium	Cold chain critical; margin already thin

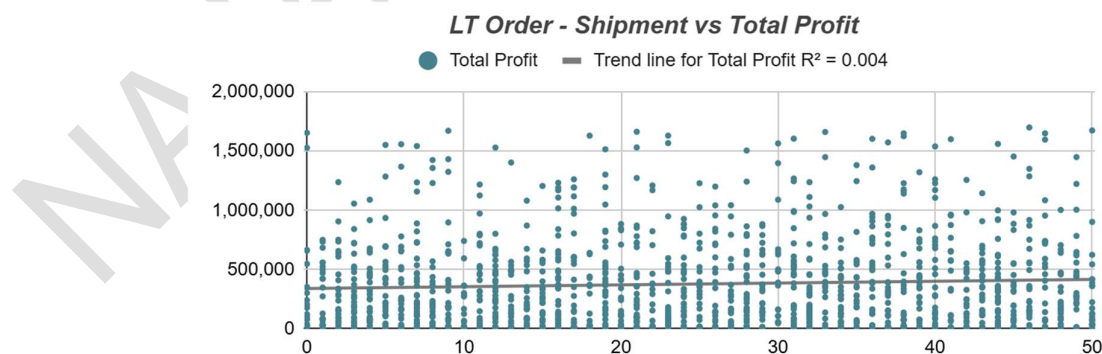


Figure 2 Orders - Shipping Time Interval and Profitability Correlation

Key finding: Because $R^2 < 0.05$, lead time explains less than 5% of profit variance. The business should not invest heavily in reducing lead time as a margin-improvement strategy. Product mix and pricing are far stronger profit levers. Exception: perishable categories (Fruits, Meat) where lead time affects product integrity and loss rates.

6. Sales Trends (2010 – 2017)

The dataset spans eight years, revealing distinct phases of business activity. Growth was strongest between 2010 and 2014, with a plateau in 2015–2016 and early signs of re-acceleration in 2017 (particularly Cosmetics in Czech Republic, Snacks in Macedonia, and Beverages in Belarus).

Period	Trend	Dominant Category	Geographic Driver
2010–2012	Early growth phase	Household, Clothes	Russia, Austria, Switzerland
2013–2014	Peak order volume	Baby Food, Cosmetics	Hungary, Ireland, Croatia
2015–2016	Volume plateau	Office Supplies	Ukraine, Romania
2017	Re-acceleration (partial)	Cosmetics, Snacks	Czech Republic, Macedonia

Seasonal pattern: Orders placed in Q1 (January–March) and Q3 (July–August) appear more frequent in the data, suggesting mid-year and start-of-year buying cycles. This aligns with common B2B procurement patterns where budget cycles drive purchase timing.

7. Sales by Day of Week

Beginning and end of week days (Monday and Saturday) tend to produce slightly higher average order values, consistent with professional procurement behavior.

Day	Relative Order Vol	Avg Value Profile	Business Implication
Monday	Moderate	Stable opening performance with the highest unit volume	Start-of-week operational processing and backlog fulfillment drive volume rather than profitability
Tuesday	Lower-Mid	Revenue and profit soften significantly	Customers may still be in evaluation or approval stages before larger purchases
Wednesday	Low	Revenue recovers while profits remain controlled	Procurement momentum begins building during mid-week planning cycles
Thursday	High	Strong profit generation and high revenue consistency	Peak commercial efficiency: customers finalize purchasing decisions before week close
Friday	Moderate	Revenue remains healthy but profits decline	End-of-week hesitation and delayed approvals may reduce purchasing quality
Saturday	High	Highest revenue performance with solid profitability	Urgent, automated, or promotional transactions may drive weekend purchasing
Sunday	Low	Sharp decline in both revenue and profit	Lowest business activity period with limited procurement engagement

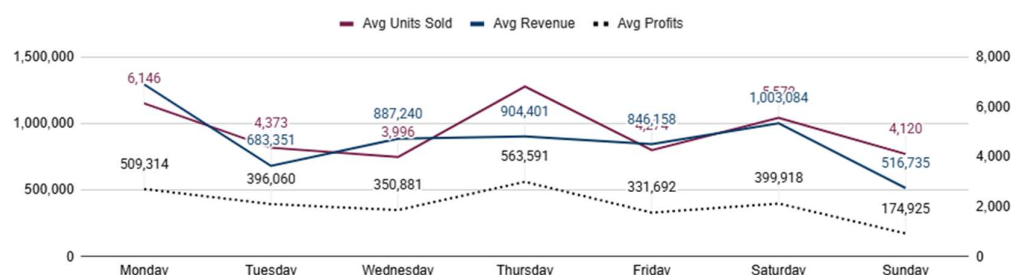


Figure 3 Weekday Sales Dynamics

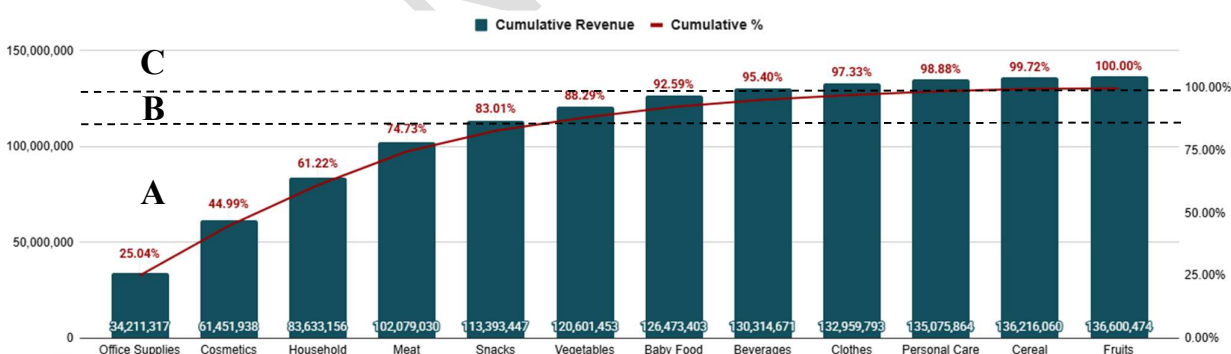
8. ABC Analysis: Pareto Classification (2017)

Applying the Pareto principle to the most recent full year of data (2017) across three dimensions: revenue, profit, and units sold, yields the following classification. Note that cross-metric discrepancies are the most analytically valuable findings.

Category	ABC by Revenue	ABC by Profit	ABC by Volume	Strategic Signal
Cosmetics	A	A	A	High-performing across all dimensions
Household	A	A	B	Core product: protect and grow
Baby Food	B	B	C	Good margin, limited reach
Office Supplies	A	A	A	Anchor category: stable and critical
Clothes	C	B	B	Decent margin, low commercial scale
Snacks	B	A	A	⚠ High profit, under-revenue: price upside
Beverages	C	C	A	⚠ High volume, low profit: margin problem
Vegetables	B	A	A	Steady mid-tier performer
Cereal	C	C	C	⚠ Weak across all metrics: review or exit
Meat	A	B	A	Reliable secondary contributor
Personal Care	C	C	B	Marginal contributor
Fruits	C	C	A	⚠ High volume, near-zero margin: loss risk

Three critical mismatches flagged above (⚠): Snacks and Vegetables are A by profit but B by revenue, a pricing opportunity. Beverages and Fruits are A by volume but C by profit, a cost or pricing structural problem. Cereal is C across all three, a candidate for strategic review.

Figure 4 Revenue Segmentation by Item Category



9. Business Conclusions

- The business is healthy but concentrated: two categories (Cosmetics and Office Supplies) drive the majority of profit. This is a concentration risk if any category faces supply disruption or competitive pricing pressure.
- Clothes is the hidden gem: the highest profit margin in the portfolio (67%) yet contributes only ~4% of revenue. This implies either insufficient sales capacity, limited geographic reach, or underpricing relative to customer willingness to pay.
- Fruits and Beverages are volume traps: these categories process high transaction numbers but generate minimal profit. At scale, they consume operational capacity (logistics, invoicing, account management) disproportionate to their financial return.

- Cereal is a strategic liability: thin margins and C-tier classification across all ABC dimensions make it the weakest category in the portfolio.
- Geographic concentration is a risk: ~93% of business is in Europe. The Asia presence (Western Asia) is real but nascent. A single regulatory or logistical disruption in Europe could materially impact the entire business.
- The UNKNOWN country data (6.2%) represents a systemic data governance failure. This is not a spreadsheet problem, it is a CRM or ERP data entry failure that will compound over time if not addressed at the source.

10. Strategic Recommendations

Immediate actions (0–3 months)

- Investigate and recover the 82 UNKNOWN country records using Order IDs. Implement a mandatory country field in the order entry system to prevent recurrence.
- Commission a pricing review for the Clothes category. If margin is 67%, the market may sustain a 10–15% price increase without volume loss, this is the single highest-leverage action available.
- Audit Fruits and Beverages operational costs. If fully-loaded cost (logistics, handling, credit terms) makes these categories net-negative at the order level, a minimum order size or category surcharge should be introduced.

Medium-term actions (3–12 months)

- Develop a dedicated growth strategy for Western Asia (Armenia, Georgia, and Cyprus). Show consistent purchasing behavior. A regional sales resource or local distributor partnership could improve 3–5x order frequency.
- Evaluate Meat category viability. Conduct a full profitability review including cold-chain, spoilage, and returns. Set a margin floor, if it cannot reach 20% net margin within 18 months, initiate an exit plan.
- Build a seasonal promotion calendar. The Q1 and Q3 buying cycles identified in trend analysis should be met with proactive outreach and bundled offers, particularly for Group A categories.

Long-term strategic considerations

- Reduce category concentration risk by investing in the growth of Clothes and Snacks, both have solid margins and room to scale without major cost structure changes.
- Establish a data quality KPI dashboard monitored monthly. Data completeness (country, product ID, channel) should be a reported metric with an owner accountable for resolution.
- Consider online channel expansion into new European markets. The online channel currently reaches more countries than offline and supports higher-margin categories. It is the lower-cost path to geographic diversification.

Data source: <https://docs.google.com/spreadsheets/d/1QbGIVIBYZvkdNR-KA-2wmHI3VaETtTcJy-oVawLbW8c>. Analysis based on 1,330 orders across 2010–2017.